perhaps spend Rs 200. This introduces an inefficiency of perhaps 2×, at the expenditure stage.

Putting these together, a socialized public healthcare system might introduce a 6× inefficiency. If the magnitude of the market failure in the private arrangement (through asymmetric information and market power) is smaller than 6×, the socialized healthcare system would prove to be worse than the unregulated private solution.

Example 3: Bailing out banks

In similar fashion, the marginal cost of public funds puts a whole new perspective on using taxpayer money to bail out failed banks. Micro-prudential regulation is supposed to avoid a large-scale banking crisis. Micro-prudential regulation in India failed, and we got a banking crisis. Does this mean that between Rs 5 trillion to Rs 10 trillion of public resources should be used to recapitalize banks? We should visualize that these are costs for the economy of between Rs 15 trillion to Rs 30 trillion, using the multiplication factor of 3.

These are astonishingly large numbers. For a comparison, each Rs 1 trillion of public expenditure buys 10,000 kilometres of four-lane highways. Perhaps the right sequencing is for India to have a small banking system, and first learn how to do micro-prudential regulation of banks.

In the long run, this problem may subside

The institutional failures in tax policy and debt management, which are giving the large Indian value for the marginal cost of public funds, will take a while to resolve. In the long run, we may expect that India will achieve fundamental reforms of tax policy, tax administration and public debt management. Once these changes are achieved, the marginal cost of public